

District Strategy Report

Uttara Kannada

VTPC | February 2025



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Districts as Export Hubs Initiative

To transform every district into an export hub, supporting the Atmanirbhar Bharat mission and is expected to **boost economic growth, employment, and rural development** by connecting local production to global supply chains.

- Key focus on grassroots-level export promotion, manufacturing, and job creation, unlocking each district's potential.



Central Nodal Agency – Directorate General of Foreign Trade

- **DGFT under the Ministry of Industry & Commerce, Government of India** is responsible for foreign trade policy implementation and focusing on export promotion
- Bengaluru Regional Office serves key importers & exporters in Karnataka



State Nodal Agency – Visvesvaraya Trade Promotion Centre

- **VTPC, a government of Karnataka organization under the aegis of Department of Industries & Commerce** aims to foster international trade and support exporters through capacity building programs and policies to achieve global competitiveness



Implementing Agency – District Industries Centre

- **DIC aims to facilitate MSME (Micro, Small and Medium-scale Enterprises) development** in rural areas, implementing government schemes to enhance industrial growth & employment
- Further, **State & District Level Export Promotion Committees (SLEPC & DLEPC)** have been established to boost export ecosystem (*GO No.. CI 168 CSC 2015, Bangalore, dated 22nd July 2015 and G.O. No. CI 21 SPI 2019 (E), Bengaluru, dated 10th February 2020*)



Objectives - DEH

- **Empower MSMEs, Farmers, and Small Industries:** Facilitate access to international export opportunities, emphasizing district-led export growth to achieve self-sufficiency and self-reliance.
- **Enhance Support for Existing Export Industries:** Deliver targeted support to current export sectors to significantly increase their export capacities.
- **Promote Capacity Building:** Initiate programs aimed at consistently upgrading export quality through effective capacity-building efforts.
- **Attract District-Level Investments:** Encourage investments to strengthen manufacturing and export capacities while fostering a district-level innovation ecosystem that leverages technology to enhance exporter competitiveness.
- **Simplify Regulatory Framework:** Develop a regulatory environment that is streamlined, transparent, and responsive to facilitate uninterrupted export growth.

Improving Ease of doing Business

The Business Reforms Action Plan (BRAP) by the DPIIT aims to enhance the ease of doing business in India by tracking and ranking states and UTs based on the implementation of various reforms that foster a more business-friendly environment.

GO realized by VTPC for DEH


Government of Karnataka
No. CI 21 SPI 2019 Karnataka Government Secretariat
Vikasa Soudha,
Bangalore, Dated 14.02.2025

ADDENDUM

Sub: Addition of Terms of Reference for District Level Export Promotion Committee – reg.
Read: 1. G.O.No. CI 290 SPC 94(P), Dated 28.02.2005.
2. Reconstituted G.O.No. CI 21 SPI 2019, Dated 10.02.2020.
3. DPIIT's State Business Reform Action Plan - 2024 (SBRAP) (Part-B: State/UTs) of Karnataka Udyog Mitra, GoK - EODB Nodal Agency for the State vide email dated 31.01.2025.
4. Director (Exports) and Managing Director, VTPC letter No.VTPC/AD/DLEPC/2024-25, dated 01.02.2025.

The Government has constituted District Level Export Promotion Committee (DLEPC) vide Government Order read at (1) above. The Committee was reconstituted by inclusion of members and Terms of Reference vide Government Order read at (2) above.

In order to improve the Ease of Doing Business in the State and improve the State ranking, DPIIT has suggested certain reforms and the same was intimated by Karnataka Udyog Mitra, Government of Karnataka - EODB Nodal Agency for the State vide e-mail read at (3) above.

Accordingly, Director (Exports) and Managing Director, VTPC has submitted a proposal to include the following Terms of Reference (Reforms) in the District Level Export Promotion Committee (DLEPC) read at (4) above. Hence, the following Addendum.

Reform No.	Sub-Area	Reform Details
333	Integration of District Export Action Plans into a Centralized Portal	Mandate that the District Collector, via the District Export Promotion Committee (DEPC), create and periodically review a District Export Action Plan (DEAP). The plan should outline the district's export potential, key products, infrastructure, and strategies leveraging its unique advantages. At least four DEPC meetings should be held annually.
334	Integration of District Export	Develop an online system where stakeholders, including government agencies, exporters, industrial associations,

1

35. Additional Director (P&P), Directorate of Large & mega industries, Khanijabavan, Race Course Road, Bengaluru-01.
36. Guard File/ Spare Copies

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Road, PB

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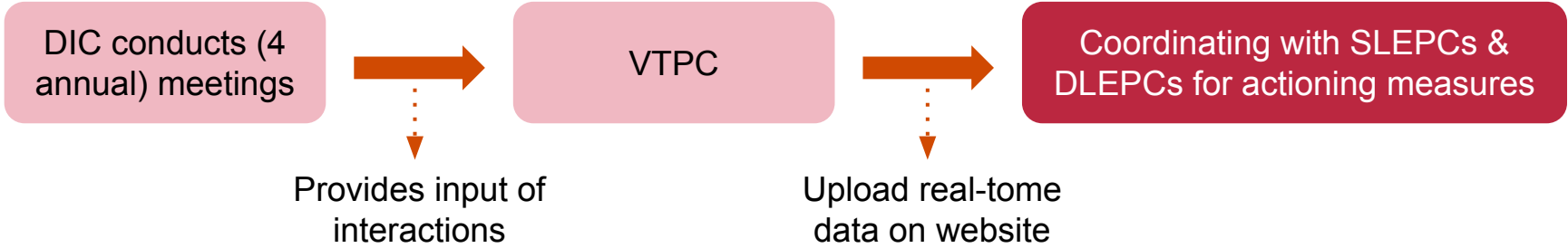
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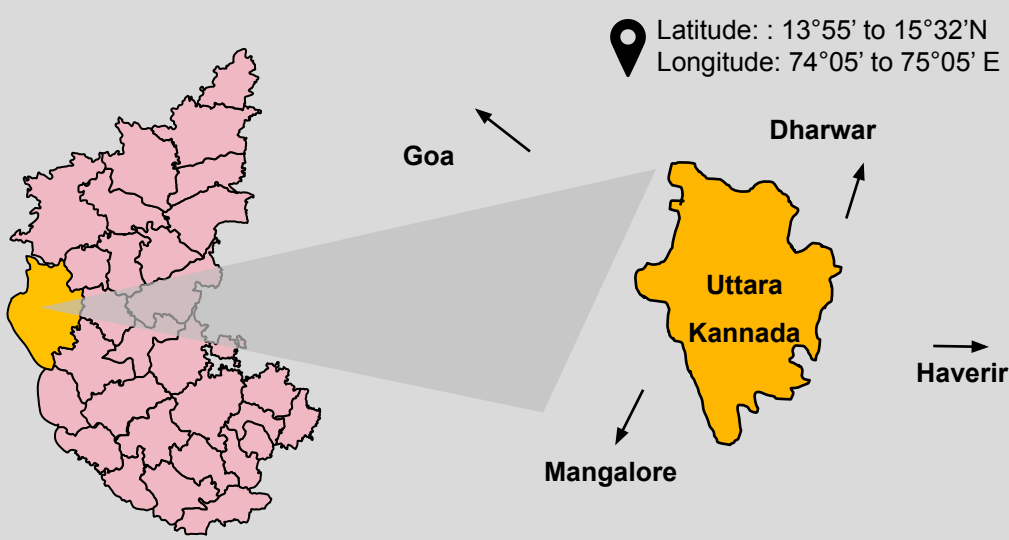
Reform no.	Sub-Area	Reform Details
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334	Integration of District Export Action Plans into a Centralized Portal	Develop an online system where stakeholders, including Government agencies, exporters, industrial associations and business, can access all district action plans. This system will serve as a one-stop platform for all districts, offering critical insights into export initiatives.
335	Integration of District Export Action Plans into a Centralized Portal	Ensure that the DEAPs are updated in real-time on the portal, enabling stakeholders to monitor progress, identify bottlenecks and propose improvements.

Supporting exporters to voice their concerns



About District Uttara Kannada





District Profile | Uttara Kannada

18st Rank in District's GDDP ~ contributing to
~**2%** as of 2022-23

Sectoral Ranking at State Level


Agriculture
17th


Industrial
19th

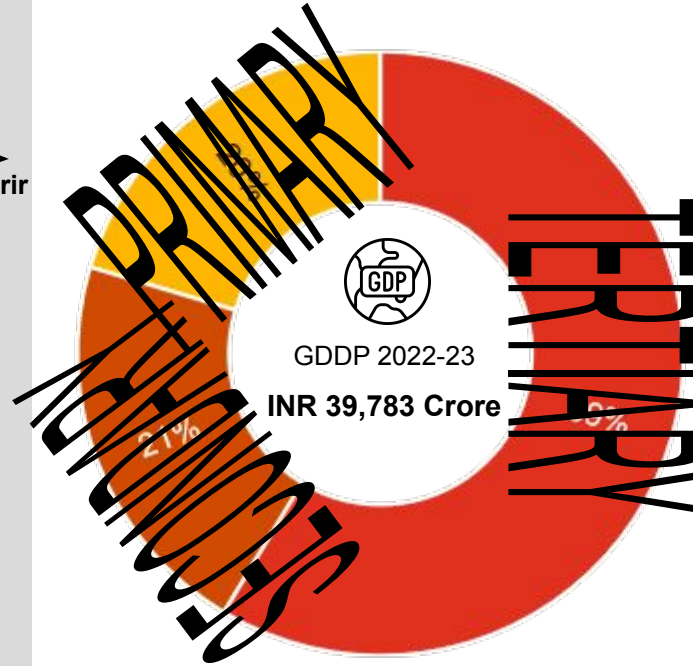

Services
15th

Net District
Domestic Product

INR 35,096 Crore

Per Capita
Income

INR220,984



- **Strategically located with presence** of 2 National highways (NH66 & NH52) and Mangalore International Airport (IXE) and Goa International Airport (GOI) connecting various economic nodes at National and International level
- **Economy predominantly on Food processing** for marine products, coconut, ,cocoa, vanilla, pepper, cardamom and other spice crops
- **Major Companies:** Shravati Agrotech Private Limited, Karavali Cashew, NPCIL, Kaladhar Cashew, Aditya Birla, Malnad Naturals



Area

10,227 Km²



Industries

Large: 6 | MSME:
4,251



Villages

1,289



MSME Units

Micro: 4,157 | Small:
91 | Medium:3



Taluk

12



Literacy

84.06%



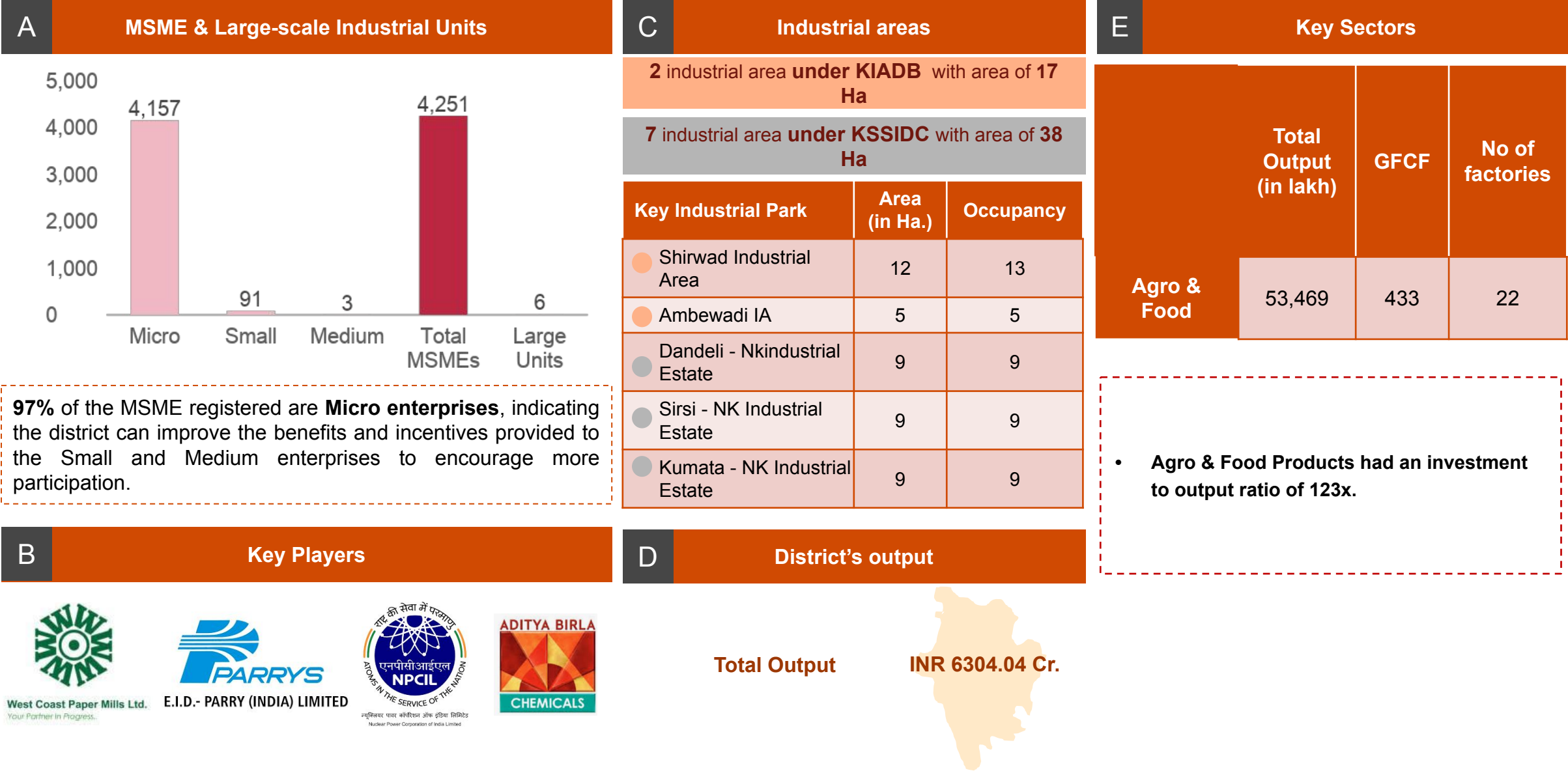
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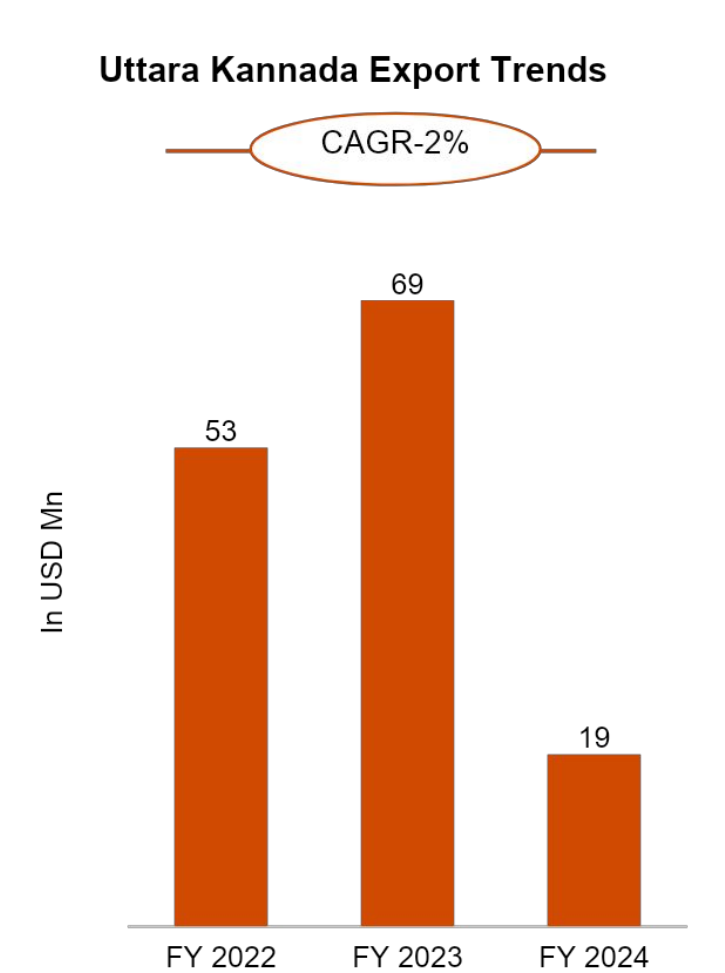
Food Processing

Industrial Profile of Uttara Kannada



Uttara Kannada contributes to ~ 0.2% of overall state level exports as of FY24 – Significantly led by Agriculture and food processing industries

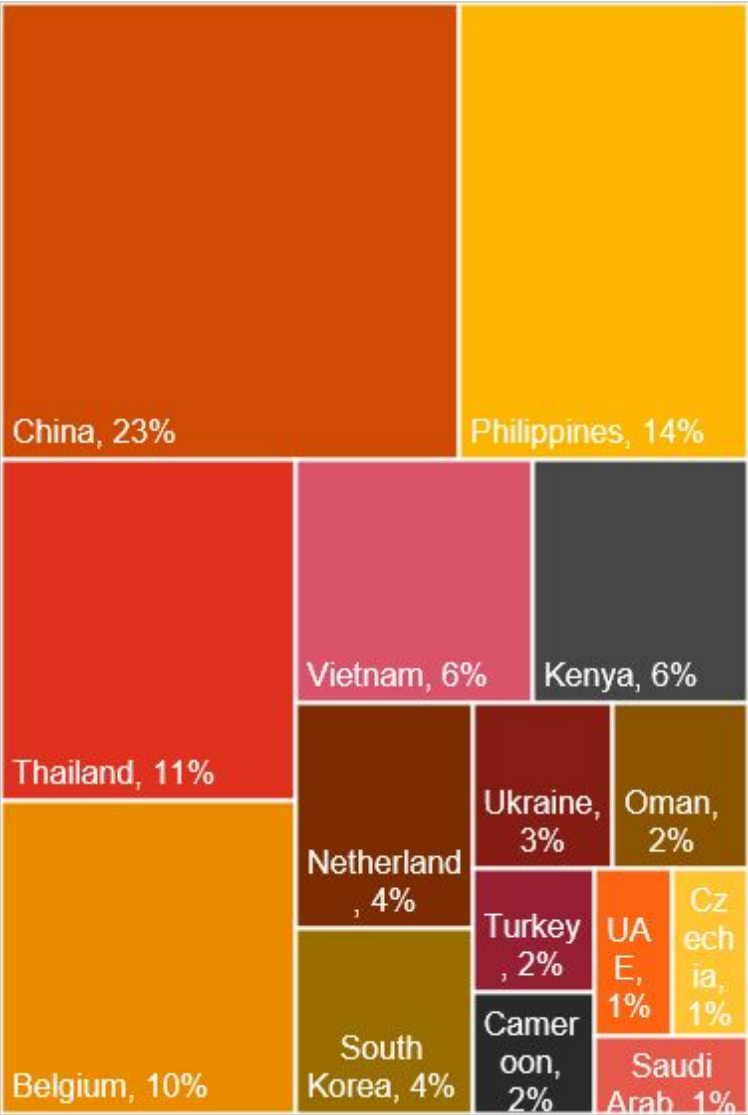
A Uttara KannadaExport Trends



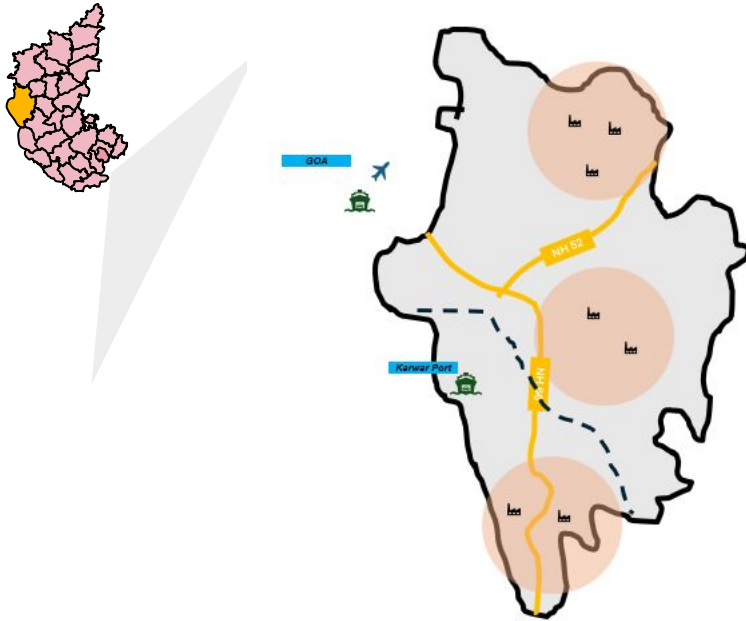
B Key Export Commodity from Uttara Kannada

HS Code	Product Description	Exports as of FY 2023-24 (USD Mn)	% Share of District's Export (3 Years)	CAGR
17	Sugars and sugar confectionery	6.2	33%	-37%
3	Fish and crustecans	2.2	12%	-
39	Plastics articles	0.8	4%	109%
23	Residues and waste from the food industries	0.8	4%	24%
30	Pharmaceutical products	0.7	4%	69%
84	Machinery and Equipment	0.2	1%	-23%
9	Coffee, tea, mate & spices	0.2	1%	-31%
73	Iron or steel articles	0.03	0.1%	1303%
85	Electrical machinery & equipment (ESDM)	0.02	0.1%	38%
33	Essential Oils	0.02	0.1%	-27%
Top 10 Contribution to Exports		11.17	59%	
Total Exports		46.8	100%	-129%

C Top Trade Partners



Uttara Kannada is well-connected through a network of national and state highways, with NH 66 being a major route along the western coast, linking key towns like Karwar and Bhatkal



- Well connected by **Inter & Intra City railways**
- **1 major railway station** ~ connecting major economic nodes across neighboring states



- **Nearest seaport** ~ Mangalore (distance ~ 450 kms)
- **ICD Whitefield** ~ One of the largest in India connected via **NH 4, NH 7 & SH 35** with **direct rail cargo** connectivity to Chennai Port, Cochin Port and JNPT



- Arterial national highway linking the region extending over ~140+ kms
- **NH 52** (Belgavi – Panaji)
- **NH 66** (Tumakuru – Honnavar),



- 90% of the area receives 650 mm of rainfall ~ access to Akravati, Kanva & Dakshina Pinakini river
- **BWSSB** ~ Nodal agency for water supply
- **BESCOM** ~ Nodal agency for power supply



- Excellent international connectivity with **presence of Mangalore International Airport (KIA)** –
- **Capacity**



- **2 Industrial Areas** (KIADB) and **8 Industrial Estates** (KSSIDC)
- **Industrial area**~ 105.8+ Acres across Sirisi, Kumta, Bhatkal, Dandeli
- **Major industrial estate** – 34.14+ acres across Shirawad

Social Infrastructure



Colleges :146
High Schools:1,511
Healthcare centers :83
Research & Development Centers: Arya Medical and Research Center

Strengths, Opportunities, Weakness and Threats for Uttara Kannada

S

Strengths

- **Established as a agro cluster:** Dakshina Kannada is rich in natural resources, featuring lush forests, rivers, and the Western Ghats
- **Strategic location:** The fertile land supports diverse agricultural activities, including paddy, areca nut, coconut, and spices
- **Supported by presence of infrastructure such as** Ports like Karwar enhance trade and economic activities, supporting local industry and commerce.

W

Weakness

- **A significant portion of the population** relies on agriculture
- **While there are ports and roads, further infrastructure** development is needed to boost connectivity and economic growth
- Many local businesses lack **awareness and understanding of international standards and certifications** required for export, limiting their market reach

O

Opportunities

- District can leverage strengths **food processing** to create value-added export products – emphasizing advanced manufacturing, R&D, sustainable practices, and local expertise to significantly enhance economic growth and global trade.
- There is potential to develop eco-tourism, beach tourism, and cultural tourism, capitalizing on the district's natural and cultural assets
- **The region's natural resources offer potential for renewable energy projects**, such as wind and solar power

T

Threats

- **High dependency on China for raw materials, intermediate goods & advanced tech** – However, a balanced self-reliance with accessibility of essential resources can mitigate the dependency and strengthen local value chain
- **Supply chain disruptions due to the Russia-Ukraine war** can be mitigated by seeking **alternative trade agreements**, encouraging **domestic production** through financial incentives, exploring latent export opportunity with trade partners, access to finance for increasing inventory levels, policy thrust at State and central level to boost investments

Potential Products



Framework of top export products from Uttara Kannada

Framework for shortlisting priority products for Uttara Kannada

Analysis of Last 3 years export data at Uttara Kannada level (FY 2020- 21 to FY 2023-24) – estimating average trade at 2-digit level for identified products

Traditionally strong sectors

A

Karnataka exports

Analysis of Last 3 years export data at Karnataka level (FY 2020- 21 to FY 2023-24) – estimating average trade at 2-digit level for identified products

B

Key export clusters

Identification of key export clusters of focus sectors / products with high manufacturing potential

Sunrise sectors

C

Global imports & India exports

Analysis of last 3 years export data at Global imports and National exports level (FY 2020-21 to FY 2023-24) – estimating average trade at 2-digit level for identified products

D

Karnataka manufacturing sectors

Analysis of top sectors contributing >4% to the overall manufacturing sector value of output as of FY 2022-23

Criteria for shortlisting sectors top 10 – 12 sectors:

- Identification of products contributing cumulatively to ~80% of overall exports – Uttara Kannada exports
- Identification of products contributing cumulatively to ~90% of overall exports – Karnataka and India exports
- Identification of products contributing cumulatively to ~90% of overall imports – Global imports
- Identification of top sectors contributing >4% to the overall Karnataka's manufacturing sector value of output
- Identification of existing export clusters for focus products in Karnataka as part of compete with China initiative

Framework of top export products from Uttara Kannada

Identified Sectors/ Products	Traditional Sectors		Sunrise Sectors		
	District Exports	Karnataka Exports	India Exports	Global Imports	District Manufacturing Strengths
Textile & Garments	-	✓	-	-	-
Chemicals & related products	-	✓	✓	-	✓
Agro & food products	✓	-	✓	-	✓
Machinery & Equipment	-	✓	✓	✓	✓
Electronics & electrical products (ESDM)	-	✓	-	✓	✓
Basic metals	-	✓	✓		✓
Optical & medical equipment	-	✓	-	✓	✓
Automobile & auto components	-	-	✓	✓	✓
Defense	-	✓	✓	✓	-
Pharmaceutical products	-	✓	✓	✓	✓
Aviation	-	-	✓	✓	✓
Plastic & related products	-	-	-	✓	-

Source: DGCIS



HS Code
**3,9,10,13,
17,23**



Export Value
(3 yrs avg., in
USD Mn)
33.5



Product Ranking
1

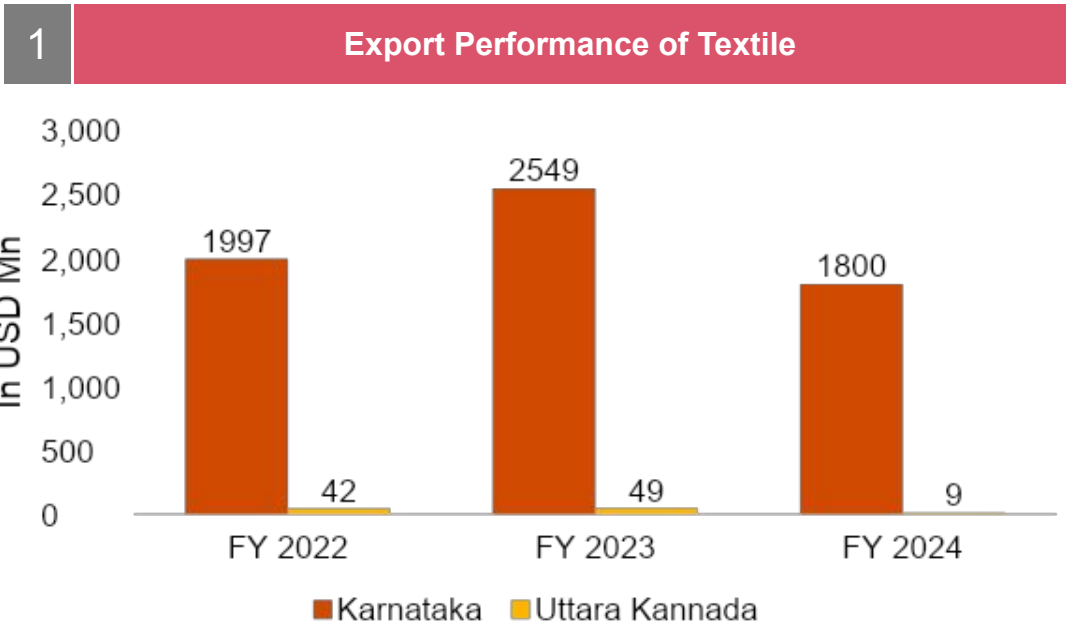


Growth
(FY2022-24)
-41%



No. of
Sub-Products
Identified
31

Product Profile #1 – Agro & Food products



- Exports from Uttara Kannada witnessed downfall of approx. -41% over the last 2 years ~ at USD 9 Mn in FY 2024
- Molasses resulting from the extraction or refining of sugar (HS 1703) contributes the highest 54% followed by Cane or beet sugar and chemically pure sucrose, in solid form (HS 1701) that contributes 17% of total export under Agro & Food products.

2 Export Partners

Country	Average Exports (FY 2022 – 2024) in USD Mn	%Share in Districts Export
Iran	7.8	23%
Philippines	7.2	21%
Yemen	2.4	7%
Ireland	2.4	7%
Netherland	2.3	7%
Thailand	1.6	5%
Others	9.9	29%
Total	33.5	100%

- 45% of importing countries for Agro & Food products exported from the district includes Iran & Philippines.
- Other prominent importing countries include Yemen, Ireland, Netherland, Thailand and Belgium contributing to 30% of total exports from the district

Product Profile #1 – Agro & Food products

3

Identified Products

HS Code	Description	Export from District (in USD Mn)	Growth (in %)	Karnataka Exports	Growth (in %)	India Exports	Growth (in %)	Upscaling/ Diversification	Key Markets
0304	Fish fillets	-	-	109.4	-0.05	282.5	0.001	Upscaling	China, Vietnam, Italy, USA, Germany, Thailand, Belgium, Bangladesh, UAE, Djibouti
0307	Molluscs, fit	0.2	-	59.8	0.03	771.8	0.002	Upscaling	
0303	Frozen fish	0.7	-	42.8	0.02	568.5	0.001	Upscaling	
0301	Live fish	-	-	0.7	0.71	4.9	0.001	Upscaling	
0306	Crustaceans, whether	-	-	12.1	0.05	4868.1	0.011	Diversification	Indonesia, USA, China, Philippines, Vietnam
0302	Fish, fresh	-	-	0.3	1.56	51	0.001	Diversification	
0305	Fish, fit for human consumption	-	-	0.0	-1.00	53.2	0.001	Diversification	
0901	Coffee, whether	0.2	-88%	652.4	0.06	711.8	0.002	Upscaling	China, Vietnam, Italy, USA, Germany, Thailand, Belgium, Bangladesh, UAE, Djibouti
0910	Ginger, saffron,	0.1	-40%	42.6	-0.10	532.6	0.001	Upscaling	
0904	Pepper	0.1	114%	19.7	0.30	1299.1	0.003	Upscaling	
0908	Nutmeg, mace	-	-	1.0	0.18	184.3	0.001	Diversification	Indonesia, USA, China, Philippines, Vietnam
0902	Tea, whether	-	-	0.6	-0.33	715.1	0.002	Diversification	
1006	Rice	8.1	-100%	141.3	-0.15	10284.1	0.024	Upscaling	China, Vietnam, Italy, USA, Germany, Thailand, Belgium, Bangladesh, UAE, Djibouti
1005	Maize	-	-	79.9	-0.37	918.8	0.002	Upscaling	
1008	Buckwheat, millet,	-	-	2.7	0.20	52.3	0.001	Diversification	Indonesia, USA, China, Philippines, Vietnam
1007	Grain sorghum	-	-	0.6	0.37	18.8	0.001	Diversification	
1001	Wheat and	-	-	0.2	-0.77	1300.5	0.003	Upscaling	

Legend: Upscaling Diversification

Source: DGCIS
PwC

Product Profile #1 – Agro & Food products

4 Identified Products									
HS Code	Description	Export from District (in USD Mn)	Growth (in %)	Karnataka Exports	Growth (in %)	India Exports	Growth (in %)	Upscaling/ Diversification	
1302	Vegetable saps	0.2	-72%	137.6	-0.07	851.6	0.002	Upscaling	China, Vietnam, Italy, USA, Germany, Thailand, Belgium, Bangladesh, UAE, Djibouti
1301	Lac; natural	-	-	31.8	-0.14	118.8	0.000	Diversification	Indonesia, USA, China, Philippines, Vietnam
1701	Cane	5.6	-99%	426.6	-0.38	4425	0.010	Upscaling	China, Vietnam, Italy, USA, Germany, Thailand, Belgium, Bangladesh, UAE, Djibouti
1703	Molasses resulting	18.1	-25%	58.5	-0.09	224.8	0.001	Diversification	Indonesia, USA, China, Philippines, Vietnam
1702	Other sugars	-	-	48.3	-0.05	140.7	0.001	Upscaling	China, Vietnam, Italy, USA, Germany, Thailand, Belgium, Bangladesh, UAE, Djibouti
1704	Sugar confectionery	-	-	2.0	0.05	181.6	0.00	Diversification	Indonesia, USA, China, Philippines, Vietnam
2301	Flours, meals	0.4	24%	209.6	0.54	287.5	0.001	Upscaling	China, Vietnam, Italy, USA, Germany, Thailand, Belgium, Bangladesh, UAE, Djibouti
2309	Preparations of	0.0		29.0	0.12	334.1	0.001	Upscaling	
2308	Acorns, horse-chestnuts	-	-	0.1	0.45	1.8	0.001	Upscaling	
2306	Oilcake and	-	-	0.9	-0.32	617.9	0.001	Upscaling	
2304	Oilcake and	-	-	0.8	1.09	863.4	0.002	Diversification	Indonesia, USA, China, Philippines, Vietnam
2303	Residues of	-	-	0.7	1.24	30.8	0.001	Diversification	
2302	Bran, sharps	-	-	0.2	-0.84	159.7	0.001	Diversification	

Legend: Upscaling Diversification

Source: DGCIS

Actioning Strategy



Export Action Plan for Uttara Kannada (1/2)

Trade Promotion

Strategy	Action	Responsibility
Promotion of products manufactured in Karnataka – Online & Offline	Promote local products through various mediums - digital/ physical/ events/ B2B/ buyer seller events etc.	DLEPC and EPCs
New market identification for exporters (Budding and Existing players)	Facilitate tie ups with international buyers / Indian missions / Industry associations through participation in trade fairs, global events, engagement with trade bodies for identified markets	EPCs
Enhance participation in GOI/ GOK Schemes for export promotion	Reassessment of existing schemes wherein fiscal incentives are availed to exporters through Market Development Assistance - Reevaluation of incentives provided under the Industrial Policy for Export Oriented Units and Special Economic Zones	Department of I&C, VTPC
Market Penetration Index	Assist existing exporters for participation in trade events in new markets Leveraging presence of Indian missions in target markets Coordinate with EPCs across the country for leveraging their connects for B2Bs, trade events and other networking activities in new markets Support MSMEs in setting up units, engage with exporters and trade bodies to identify new export avenues, and work with Indian missions abroad to identify potential buyers.	EPC, VTPC
Availing market analysis portal for Exporters	Revamping of VTPC website with updated product and market intel reports - Information of new products and market to be disseminated through Vanijya Mitra portal and Export Awareness Program	VTPC
Developing database for exporters at District level	Development of an exporter database in coordination with industrial associations in the district	DLEPCs, EPCs
Existence of Trade guide	Preparation of New Trade Guide for VTPC	VTPC

Implemented

Proposed

State level implementation

District level implementation

Export Action Plan for Uttara Kannada (2/2)

Support Infrastructure for Export Augmentation

Strategy	Action	Responsibility
Common Infrastructure	Good Agri practices The State Agriculture/ Horticulture Departments should engage the FPO's for adopting the best agriculture and health Practices to improve and increase exports from the district	DLEPC, VTPC, APEDA
	Develop Agri Export Zone Identify and propose Agri Export Zones in consultation with the State Agriculture/ Horticulture Department	
Conduct an infrastructure assessment study	Demand Assessment Study for setting up of Cold Chain infrastructure in the district	DLEPC
Enhance international access for exporters	Facilitate tie ups with international buyers of products through participation in trade fairs, global events, engagement with trade bodies for identified markets	VTPC

Skill Development

Strategy	Action	Responsibility
Enhanced Skill development training for Manufacturing/ Processing/exports	Strengthen industry-academia collaboration, scale up initiatives like KSDC's Advanced Automotive Technology Training, and increase investment in skill development to enhance the availability of trained professionals in advanced automotive technologies - Develop export training programs and establish support centers offering market research, compliance guidelines, and consultancy for local auto businesses	DLEPC & VTPC
Capacity building or orientation workshops for exporters	Strengthening of DICs and awareness programs across all district under DEH program to enhance overall ranking & performance of exports	VTPC

Implemented

Proposed

State level implementation

District level implementation

Proposed institutional framework for implementation of action plan

Key tasks

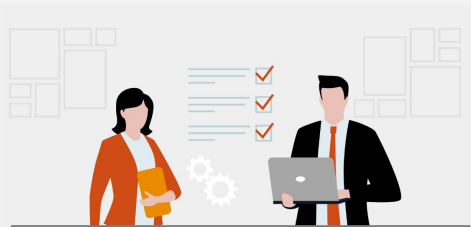
Stakeholder consultation

Connecting with the stakeholders, and understanding the challenges and bottlenecks faced in improving the district's export potentials



Data sharing

Sharing the information and data gathered from the stakeholder consultation with VTPC, to ensure concerned authorities are aware of the same.



Progress status

VTPC upload the grievances on the website and on real time basis should keep updating the progress of and the status of the grievances.



Committee

Member

The Deputy Commissioner of District

Chairman

The Additional Director General of Foreign Trade

Co-Chairman

Additional Director & In-charge Nodal Officer of the District, Department of Industries & Commerce, Government of Karnataka

Member

The President, District Chamber of Commerce & Industries

Member

The President, District Industries Association

Member

Prominent Exporters from District [to be co-opted by the Deputy Commissioner on year-to-year basis – minimum 2, limited to 5 members]

Member

The District Lead Bank Manager

Member

The Joint Director, Agriculture Department

Member

The Deputy Commissioner to co-opt Departmental officers/industry representatives/ associations in specific subject in specific districts as may be necessary based on the needs of the export basket of the concern District

Member

The Joint Director, District Industries Centre

Member Secretary



For Further Details, Please Contact:

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✉ vtpckalaburgi@gmail.com

